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KSE-100 V

177,666

▲ 3.89% Mon ·
+6,645 pts

S&P 500 V

7,413

▲ 0.02% · Dow
+0.51%

US 10Y / 2Y V

4.64 / 4.28

▼ 4bp · 2Y est.

BRENT / WTI V

\$90.8 / \$84.2

▼ ~5% · US-Iran
pause

GOLD V

\$4,083

▲ 0.8% · silver
\$58.74

USD/PKR V

277.9

interbank · rupee
firm

01 Five Things You Need To Know To Start Your Day

THE RELIEF RALLY LANDED

After a fortnight of war-driven selling, the tape turned decisively. With **the US and Iran pausing attacks** over the weekend and crude sliding ~5%, the **KSE-100 surged 6,645 points (+3.89%) on Monday to close at 177,666** — one of its biggest single-session gains of the year — as buying swept autos, cement, banks and E&Ps ([Business Recorder](#), [Aaj English](#)). [V] Sentiment: **risk-on relief**.

SBP HOLDS AT 11.50%

The marquee local event delivered as expected: the State Bank **left the policy rate unchanged at 11.50%** in the first MPC of FY27, citing lingering inflation and Middle-East uncertainty despite improved external accounts ([Express Tribune](#), [Pakistan Today](#)). Governor Jameel Ahmad said **CPI is likely to ease further in July** after June's 11.1% print. [V] Sentiment: **stability, prudent pause**.

ENERGY — THE PREMIUM DEFLATES

The single most important swing for Pakistan. With the Gulf ceasefire holding, **Brent slid ~5% toward \$90.8** and **WTI eased to ~\$84.2**, unwinding the spike that had pushed Brent above \$100 the prior week ([Kitco](#), [Business Recorder](#)). Softer crude reopens the disinflation channel just as the SBP flags easing July CPI. [V] Sentiment: **disinflation tailwind returning**.

THE OVERNIGHT TAPE

Wall Street drifted to a mixed close as the war pause pulled oil lower: the **Dow rose 0.51% to 52,210** and the **S&P 500 edged up 0.02% to 7,413**, while the **Nasdaq slipped 0.18% to 24,932** on memory-chip weakness ([Washington Post/AP](#)). The **10-year eased 4bp to 4.64%**. [V] Sentiment: **cautious steadying**.

WATCHING THE FED

The **FOMC meets today and tomorrow (28–29 July)**, with the decision due Wednesday. The CME FedWatch tool put the odds of a **hold at roughly 64%**, though a fresh US **10% "forced-labour" tariff** on ~60 trading partners — Pakistan among them — keeps a trade-inflation cross-current alive ([Trading Economics](#), [Business Recorder](#)). [V] Sentiment: **hawkish tail, watching**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Macro headwinds / tailwinds: Monday delivered a clean double positive — a **+3.89% equity surge to 177,666** and an **SBP hold at 11.50%** to open FY27 [V]. Airf Habib's Sana Tawfik tied the rally to four supports: a **~4–5% oil drop**, active institutional buying, the widely-expected rate hold, and a supportive earnings season. The balance of risks is genuinely two-sided: **June CPI printed 11.1%** with core still sticky (urban 8.7%, rural 7.9%), an argument for caution — yet the weekend collapse in oil, a firm rupee near 277.9 and improving external accounts hand the SBP room to signal patience. With the policy rate anchored and the region de-escalating, the equity market has voted for stability; the swing factor now shifts to how durable the Gulf pause proves and to Wednesday's Fed.

- **Bulls return at PSX, KSE-100 up ~3.9%** — the index closed at 177,666 (+6,645 pts), recovering the prior week's 2.7% loss in a single session on the war pause and oil relief.
- **SBP keeps policy rate unchanged at 11.5%** — first MPC of FY27; the Committee flagged easing July inflation while keeping guard against fuel and external risks.
- **FBR reforms & cashless-economy drive** — Finance Minister Aurangzeb pushed documentation and exporter facilitation, a structural positive for the formal economy and tax base.

B. GCC & Middle East

A de-escalation that cools oil but leaves the region on watch. The **US–Iran pause** pulled Brent back from above \$100 toward \$91 and lifted Gulf risk assets, but the fragility that drove the spike — Houthi strikes on Saudi oil installations and disruption around the Red Sea and Strait of Hormuz — has not cleared, and Red Sea shipping has already slowed on the latest attack [V]. Structurally the Gulf story is intact: Saudi **non-oil activity expanded ~2.8% YoY in Q1 2026** on retail, hospitality and construction, with **PIF now credited with roughly a third of cumulative non-oil GDP growth** since Vision 2030 launched. A lower, calmer oil price trims the fiscal windfall but reduces the security tax on shipping and aviation.

- **Oil slips ~5% after US–Iran pause** — the removal of the war premium eased Gulf inflation risk while keeping budgets comfortably funded near \$90 Brent.
- **Saudi Cabinet backs PIF 2026–2030 strategy** — the fund's new mandate targets non-oil export growth and digital-economy leadership, deepening the diversification engine.

C. Global Intelligence

Wall Street & global hubs: Monday was a cautious, mixed steadying rather than an all-clear. The **Dow added 0.51% to 52,210** and the **S&P 500 was essentially flat at 7,413 (+0.02%)**, but the **Nasdaq fell 0.18% to 24,932** as memory-chip weakness (Sandisk –11%) offset relief elsewhere [V]. The bond market cooled: the **10-year eased to 4.64%** as oil rolled over, though the fresh **US tariff salvo on ~60 partners** keeps a trade-inflation cross-current in play. Precious metals firmed — **gold near \$4,083 (+0.8%)** and **silver \$58.74 (+1.2%) (Kitco)**. The set-up into the **28–29 July FOMC**: a Fed that can now point to falling crude, but faces a tariff-driven inflation cross-current and a still-firm labour market — markets price ~64% odds of a hold.

- **US stocks mixed as oil falls on war pause** — the Dow led, the S&P held flat and the Nasdaq lagged on chip weakness ahead of a packed Fed-and-earnings week.
- **US unveils 10% forced-labour tariff on ~60 partners** — Pakistan and dozens of EMs caught, reviving trade-war inflation fears just as the oil scare faded.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	SBP holds policy rate at 11.50% — first Monetary Policy of FY27; the MPC paused as it balanced sticky core CPI against easing oil and improving external accounts.	Banks, Equities, Leveraged Borrowers, Autos, Cements	Wins: equities and rate-sensitive cyclicals (autos, cements, leverage plays) that rallied on the stability signal; banks keep NIM visibility. Loses: anyone positioned for near-term cuts — easing stays off the table while inflation runs near 11%. The hold was ~97% expected and is priced; the tone was patient, not hawkish, which underwrote Monday's surge.
GCC — Saudi Arabia	PIF 2026–2030 strategy endorsed — Cabinet-backed mandate to accelerate non-oil exports, digital-economy leadership and the Vision-2030 mega-project pipeline.	Non-oil Private Sector, Tech, Construction, Sovereign Funds	Wins: diversification and digital plays, construction/real-estate tied to NEOM–Red Sea–Diriyah, and PIF portfolio companies. Loses: pure oil-cycle exposure as the fiscal emphasis tilts further from crude. For Gulf-focused sponsors and Pakistani corporates eyeing KSA tie-ups, the non-oil deal pipeline keeps widening.
Global — United States	New 10% "forced-labour" tariff on ~60 partners , capturing Pakistan and dozens of EMs; FOMC decision due Wednesday 29 July (~64% hold priced).	Exporters, Textiles, Emerging Markets, Bonds, Consumers	Wins: targeted US domestic producers and the tariff-revenue line. Loses: EM exporters — Pakistani textiles among them — plus US consumers facing higher import costs. The timing is awkward: a fresh tariff-inflation impulse just as the oil scare faded keeps the global rates picture unsettled into the FOMC.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

175,000

Monday's rally base; deeper floor at 173,000 gap zone

PIVOT EST.

177,666

Monday's close — holding it confirms the breakout stance

RESISTANCE EST.

179,000

near-term cap; then the 180,000 psychological level

Desk stance — constructive, but let the rally digest and the Fed clear. The posture is cautiously constructive after Monday's **+3.89% surge** and the SBP hold. The move rests on two supports that need to hold: the **US–Iran pause** and the **oil retreat toward \$91**. Both are genuine positives — softer crude eases the exact imported-inflation channel that hurt Pakistan for a fortnight, and petrol should follow lower. But single-session gains of this size often see partial profit-taking, and the rally has run the index near record territory. The near-term swing factor is external: **Wednesday's FOMC** (~64% hold) and whether the Gulf pause proves durable. Positioning: banks offer the cleanest earnings visibility under a stable rate; rate-sensitive cyclicals (autos, cements) and oil-relief beneficiaries screen well; keep leverage modest until the pause and the Fed both land. The rupee near 277.9 remains the quiet anchor. **All levels are indicative desk estimates, not recommendations.**

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